

example, shows peaks 33 days apart (measured between the two highest price bars), and that's typical.

Price decline after right top. Price must close below the confirmation line to validate the double top pattern. If a double top forms a third peak before price closes below the confirmation line, then consider it a triple top and trade it as such.

Volume. Volume varies but is usually heavier on the left top than on the right. However, do not exclude a potential double top just because volume is heavier on the right peak than the left.

Breakout direction. When price closes below the lowest valley between the two peaks, it stages a downward breakout. If price closes above the top of the pattern first, then it's not a double top.

When price breaks out downward, it confirms the pattern as a true double top. Investing without waiting for confirmation is usually an amateur's game, one that ends in a loss or missed profits.

Why do I say that? A study of twin-peak patterns found that 60% climbed away from the pattern instead of dropping down to the confirmation line. The potential double top remained just squiggles on the price chart and not a valid double top pattern.

[Figure 33.3](#) shows another example of an Eve & Eve double top. The right peak looks like two Adam tops, but the peak separation is not wide enough to call the three peaks a triple top. The landscape looks like two hills with the right hill having a few tall trees but still forming one hill.

Running through the identification guidelines, we see that price trends upward to the first top. The two tops look rounded, and the valley between them separates the peaks into two individual hills. The price variation between the two tops is considered large for statistical purposes, measuring 3%, but the tops look like they stop near the same price. Volume is heavier on the right peak than the left (using 2 days before to 2 days after the highest high in each peak), which is unusual. Price confirms the pattern in April when it closes below the confirmation line. Within a month, price pulls back to the confirmation line before resuming the downtrend.